

15-Feb-2018

Zoetis, Inc. (ZTS)

Q4 2017 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Good day, and welcome to the Fourth Quarter and Full Year 2017 Financial Results Conference Call and Webcast for Zoetis. Hosting the call today is Steve Frank, Vice President of Investor Relations for Zoetis. The presentation materials and additional financial tables are currently posted on the Investor Relations section of zoetis.com. The presentation slides can be managed by you, the viewer, and will not be forwarded automatically. In addition, a replay of this call will be available approximately two hours after the conclusion of this call via dial-in or on the Investor Relations section of zoetis.com.

At this time, all participants have been placed in a listen-only mode, and the floor will be open for your questions following the presentation. [Operator Instructions]

It is now my pleasure to turn the floor over to Steve Frank. Steve, you may begin.

Steve Frank

Vice President-Investor Relations, Zoetis, Inc.

Thank you, operator. Good morning, and welcome to the Zoetis fourth quarter and full year 2017 earnings call. I am joined today by Juan Ramón Alaix, our Chief Executive Officer; and Glenn David, our Chief Financial Officer.

Before we begin, I'll remind you that the slides presented on this call are available on the Investor Relations section of our website, and that our remarks today will include forward-looking statements, and that actual results could differ materially from those projections. For a list and description of certain factors that could cause results to differ, I refer you to the forward-looking statements in today's press release and our SEC filings, including, but not limited to, our Annual Report on Form 10-K and our reports on Form 10-Q.

Our remarks today will also include references to certain financial measures, which were not prepared in accordance with generally accepted accounting principles, or U.S. GAAP. A reconciliation of these non-GAAP financial measures to the most directly comparable U.S. GAAP measures is included in the financial tables that accompany our earnings press release, and in the company's 8-K filing dated today, February 15, 2018. We also cite operational results, which exclude the impact of foreign exchange.

With that, I will turn the call over to Juan Ramón.

[09PKDV-E Juan Ramón]

Thank you, Steve. Good morning, everyone. Two weeks ago, we celebrated our fifth anniversary as a public company. And since our IPO in 2013, we have been able to improve the ways we innovate and serve our customers, grow as a profitable standalone business and build a track record of delivering results.

Over the last five years, we have maintained a high level of R&D productivity and develop new and enhanced products that address the more relevant needs of our customers. Newly innovative products like Apoquel, Cytosport and Simparica as well as lifecycle innovations for our existing portfolio has supported our leadership in the animal health industry.

On an operational basis, Zoetis' revenue has grown on average of approximately 7% over the last five years, compared with 5% to 6% for the animal health industry. And our adjusted net income for the same period has grown operationally on average of approximately 21%.

Over the last five years, we have been able to deliver on our commitment of growing our revenue in line or faster than the market and growing our adjusted net income faster than sales while also targeting value-added investment opportunities and returning excess capital to our shareholders. And for the next five years, we remain committed to achieving these elements of our value proposition for shareholders.

In 2017, Zoetis became the first animal health company to deliver more than \$5 billion in revenue as we continue to demonstrate the strength of our business model and the growth opportunities in animal health. We achieved operational revenue growth for 2017 of 8% based on the diversity of our product portfolio and balanced performance across the U.S. and major international markets.

And once again, we grew our adjusted net income faster than sales, at 21% operationally, as we continue to realize the benefits of our operational efficiency initiative and deliver our long-term value proposition. The strength of our diverse portfolio of approximately 300 product lines help to absorb economic challenge in certain markets and to offset all the issues like the implementation of the Veterinary Feed Directive or VFD in the U.S.

Our companion animal business led the way again in 2017. It grew 14% operationally, based on the continued penetration of Apoquel and ramp-up of Cytopoint, and other new products like Simparica, which have gained share in the large and highly competitive parasiticide market.

We believe 2018 will be another year of above-market growth for our companion animal business. We see further opportunities for gaining share and expanding the market for dermatology products with our innovative treatment options. We expect to achieve more than \$500 million in combined sales from Apoquel and Cytopoint in 2018.

We'll also continue to support these products, as well as our oral parasiticide, Simparica, with direct-to-consumer campaigns in the U.S. and other markets. Simparica has been able to gain market share in the U.S. in 2017, and we expect further growth there and internationally in 2018.

Meanwhile, we delivered 5% operational growth in our livestock business for the year. International markets grew faster than the U.S., where we felt the impact of the VFD implementation in our cattle and swine anti-infective products.

For 2018, we'll see more favorable market conditions for livestock, particularly in the U.S. Glenn will discuss the details of our fourth quarter results and guidance in a minute, but I will like to say that we feel very confident about our prospects for 2018.

In addition to revenue growth, we have also been focused on improving our operational efficiency and margins. And in 2017, we achieved an adjusted EBIT margin of 34.1%. This was an improvement of 900 basis points in the last three years. With our improved cost structure, margin expansion, and revenue growth, we have been able to almost double our operating cash flow for the year in 2017 compared to the previous year. That improved cash flow along with the long-term benefit of the recent U.S. tax reform is providing us the flexibility to invest for long-term growth.

In terms of long-term growth, we'll continue investing significantly in R&D for our core species and geographies, look to strengthen our capabilities in areas like monoclonal antibodies, vector vaccines, genetics, diagnostics, devices and automation, identifying new technologies in areas like data analytics and sensors.

We'll continue supporting our key products like Apoquel and Simparica, with direct-to-consumer advertising and other marketing campaigns. We'll also increase our field force in diagnostics to better support introduction of new products and the future growth expected in this area.

We'll be allocating capital to support many of the manufacturing and supply improvements I have discussed recently in places like China, Ireland, and the United States. And as always, we'll continue to look at external partnership and business development that could accelerate our ability to grow in our core business and in complementary spaces like genetics and data analytics. All these investments will support our goal of more integrated solutions, which cover the entire life cycle of animal care that our customers need.

In conclusion, as we mark our fifth anniversary as independent company, I'm grateful to the colleagues of Zoetis who have delivered our strong performance and will support our future profitable growth. We continue to drive innovations, lead in customer excellence, simplify our operations, and increase our cash flow. And as we look to the future, we'll remain committed to strengthening our interconnected capabilities in direct sales, R&D and manufacturing, and look for additional investment opportunities to enhance our growth.

With that, let me hand things over to Glenn, who will provide more details on our fourth quarter results and full year guidance for 2018.

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Thank you, Juan Ramón, and good morning, everyone. Before I get into the details on our fourth quarter performance and guidance for 2018, I will provide a few comments on the results for full year 2017. This year, we delivered operational revenue growth above the market, grew adjusted net income faster than revenue, and almost doubled our operating cash flow.

Reported revenue for full year 2017 was \$5.3 billion with operational revenue growth of 8%. Of this 8%, 3.5% came from our dermatology portfolio, 3.5% came from Simparica and other new products, and the remainder of growth came from price and volume. Our product rationalization initiative had an unfavorable impact of 1% on volume for the year.

Adjusted net income for full year 2017 was \$1.2 billion and grew 21% operationally. Adjusted net income continues to grow faster than revenue, driven by the continued impact of our operational efficiency initiative and a lower adjusted effective tax rate. Our performance this year again reaffirms our ability to execute on the financial targets that we set in May of 2015 when we provided long-term guidance through 2017. With the results that we are reporting today both our top and bottom line in 2017 beat the goal outlined nearly three years ago.

For the full year, we performed well across all of the species and key markets where we compete. The diversity and durability of our existing portfolio, our market-leading commercial and manufacturing capabilities and the innovations we bring to the marketplace have allowed us to outpace the animal health industry market growth for the last five years.

Our income growth and our increased discipline on the balance sheet have enabled us to almost double our operating cash flow in 2017. This is the result of lower cash outlays for termination, benefits and stand-up costs,

increased profitability and inventory improvements. In 2017, we reduced our months on hand of inventory by more than a month. We have more work to do in this area, but are pleased with the progress in 2017.

Turning now to quarterly results, Q4 2017 was an exceptional quarter, with top line growth coming from new products in our companion animal portfolio and strong livestock performance in our U.S. and international businesses. Our product rationalization initiative had no material impact on our growth this quarter and it will not have an impact on our revenue growth going forward.

Total company revenue in the fourth quarter grew 13% operationally, excluding the favorable 1% impact from foreign exchange. Our key dermatology products, Apoquel and Cytopoint, once again surpassed the \$100 million mark in revenue, with sales in the quarter reaching \$125 million and \$428 million for the full year 2017.

Sales of Simparica were \$18 million in the quarter, growing 102% over the same period in the prior year. Fish products also contributed to growth with sales of \$39 million, growing 44% operationally versus the same quarter last year. Our recently introduced PD vaccine in Norway was the primary driver of growth as it continues to gain share and help increase the penetration of other related vaccines in our portfolio.

Now, let's discuss segment revenue. Our international revenue grew 13% operationally in the fourth quarter, with companion animal operational growth of 18%, and livestock growth of 11%. The international segment continues to drive growth across multiple dimensions with growth coming from our dermatology portfolio, new products such as Simparica, our new PCV combo vaccine and our PD vaccine, and volume and price from our in-line portfolio.

Turning to some key market highlights in the quarter. In Brazil, we grew 13% operationally driven by the strength of both our livestock and companion animal businesses. In cattle, investments in our field force have led to increased penetration and coverage in key regions within the market while favorable export market conditions also continued to contribute to growth.

In swine, increased sales of Improvac or Vivax, as it's called in Brazil, were driven by higher usage and greater penetration with larger customers. Higher companion animal revenue in Brazil benefited from the continued growth of Simparic, due to increased promotional activity and higher veterinary clinic penetration.

In Japan, we experienced operational revenue growth of 27% in the quarter. Growth came from Apoquel as a result of the timing of distributor purchases last year and the additional market penetration we achieved, as well as the launch of premium injectable products for livestock.

France grew 23% operationally over the same period last year due to a timing impact related to our price changes and new products across both companion animal and livestock.

China grew 13% operationally on the continuing strength of the companion animal business, driven by increasing medicalization of pets. Our swine business once again showed modest growth this quarter due to softening pork prices, which we expected and discussed on recent earnings calls. Our optimistic outlook and long-term view of the market remain unchanged as we continue to invest in our local operations there.

To summarize, a very strong quarter for our international segment, with growth across a diversified portfolio, including all of our core species and key markets. Favorable market conditions, strategic investments in our portfolio, and a focus on execution are all helping to drive consistent commercial results.

Turning to the U.S., revenue grew 13% in the fourth quarter. Companion animal grew 15%, while livestock grew 11%. Companion animal sales in the quarter were driven primarily by key dermatology products, Simparica, and a number of other recently launched products.

U.S. dermatology sales for Apoquel and Cytoint were \$86 million for the quarter and exhibited substantial growth over the same quarter in the prior year. While we do see a small decline on a sequential quarter basis, Q1 and Q4 are impacted by seasonality, with the warmer spring and summer months experiencing peak activities.

Simparica grew over the same quarter last year as DTC investment and field force efforts led to higher clinic penetration in both key corporate accounts and smaller clinics. Additional contributions to companion animal growth came from a number of line extensions to our Vanguard vaccine franchise; DIROBAN, a recently launched product for the treatment of heartworm; and Clavamox Chewable, a trusted antibiotic in a new easy-to-administer tablet. Our U.S. livestock business saw a return to growth in the fourth quarter with sales increasing 11%, thanks to the performance of our cattle and poultry businesses.

During the fourth quarter, growth in cattle products was driven by increased sales of premium products, which were supported by a greater risk of disease outbreaks and incidents due to the weather, as well as the timing of promotional activities in 2016. Our beef cattle business also benefited from higher numbers of animals moving through feedlots than in the comparable 2016 period.

Our livestock business continued to be impacted by the Veterinary Feed Directive or VFD with another \$10 million hit to revenue in the quarter. For the full year 2017, the VFD had about a \$40 million impact on revenue.

In poultry, the Zoetis portfolio, although alternatives to antibiotics and medicated feed additives continue to be the primary driver of growth as certain producers expand their no-antibiotic-ever label. Zoetis works closely with our customers to provide the necessary product and technical assistance that can help them switch over whenever they choose.

Now, moving on to the rest of the P&L, I will quickly cover a few key line items and then move on to our guidance for 2018. Adjusted gross margin of 68.9% increased 450 basis points in the quarter on a reported basis and reflects the benefit of cost improvements in our manufacturing network as well as the reduction of inventory waste charges versus the same quarter last year.

Operating expenses in total grew 2% operationally versus the same period last year, which was significantly lower than the operational revenue growth of 13% as we benefited from the final stages of our operational efficiency initiatives.

The adjusted effective tax rate for the quarter was approximately 27.6%. This is higher than the rate in the comparable 2016 period due to the favorable impact of certain one-time discrete items that we experienced in the same quarter last year. Our reported effective tax rate of 43.5% reflects the provisional net tax charge of \$212 million in the fourth quarter, which is the result of the recently enacted tax legislation in the U.S.

Adjusted net income for the quarter grew 37% operationally through a combination of strong revenue growth and margin expansion and cost improvements in manufacturing and leveraging our global scale and infrastructure. Adjusted diluted EPS grew 39% operationally in the quarter versus the same period in 2016.

Turning now to guidance for the full year 2018, a table of our guidance is included in both our press release and the presentation slides provided for this earnings call. Please note that our guidance for 2018 reflects foreign

exchange rates as of early February. Building off a strong 2017, we see another year of operational revenue growth above the long-term trend we see in the industry overall.

Our projected reported revenue range for 2018 is \$5.675 billion to \$5.8 billion. This represents operational revenue growth of between 5% and 7% over our full year results in 2017. Foreign exchange is expected to add an additional 2% to this revenue growth.

We continue to expect more balanced performance across companion animal and livestock in 2018. Livestock growth is expected to reflect improved conditions in the U.S. and relatively similar performance in 2017 in our international segment. While companion animal continue to grow faster than livestock, its growth rate will moderate as our dermatology portfolio and other new products grow off a larger base in 2018.

Our adjusted cost of sales, as a percentage of revenue, is expected to be approximately 32% in 2018, an improvement of around 100 basis points over 2017 and driven by manufacturing cost reductions, price increases, and stable product mix. We expect SG&A for the year to be between \$1.37 billion and \$1.42 billion. Similar to revenue, foreign exchange is expected to increase these expenses approximately 2% on a reported basis.

We will continue to fund our DTC programs for Apoquel and Simparica in the U.S. These programs have been successful, and we expect they will continue to help our sales team drive market expansion in dermatology, and market share in parasiticide.

As our diagnostics pipeline continues to advance, we are beginning to fund additional investments in commercial capabilities in both the U.S. and international to be prepared to offer our customers these products with the level of service and support we offer them on our other portfolios.

We expect R&D expenses to be between \$400 million and \$420 million, a step up in the level of spending we've had in prior years. Over the course of 2017, we made a number of decisions to either expand investment or accelerate investments, where we saw the opportunity to do so in areas such as monoclonal antibodies and key emerging markets. The increase in adjusted interest expense and other income deductions reflects the incremental interest expense associated with our recent debt offering.

For the full year 2018, the company expects its adjusted effective tax rate to be in the range of 21% to 22%. The decrease versus prior year is primarily the result of the tax changes enacted in the U.S. in December. The target range for adjusted net income for the full year 2018 is between \$1.45 billion and \$1.52 billion, representing an operational growth rate of 20% to 26%. Growth here includes the favorable impact of continued operating margin expansion and a lower adjusted effective tax rate. Our guidance for adjusted diluted EPS is between \$2.96 and \$3.10 for the full year.

Turning to capital allocation, our priorities remain the same. Investment in our own business and internal R&D programs, then external business development opportunity, and finally, returning excess capital to the shareholders.

With the impact of the recent tax law changes, we will have greater flexibility to execute on these priorities. I would also point out that given the level of investment we have discussed in manufacturing facility, you should expect capital expenditures in 2018 to be approximately \$100 million higher than the \$224 million we recorded in 2017.

In terms of returning excess capital to shareholders, we increased our dividend by 20% for Q1 2018 and had share repurchases of \$500 million in 2017. It's worth mentioning that we still have \$1 billion left on our current share repurchase program.

To wrap up, we had strong performance in 2017, and see those fundamental business and market drivers continuing into 2018. We have the capital and cash flow generation to invest in growth opportunities across the animal health industry. And we have the talent and capabilities to maintain our market leadership in this attractive market and create more value for our customers and shareholders.

With that, I'll hand things over to the operator to open the line for your questions. Operator?

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] We'll take our first question from Louise Chen with Cantor. Please go ahead. Your line is open.

Louise Chen

Analyst, Cantor Fitzgerald Securities

Hi. Thanks for taking my questions. My question is just on R&D. We always get a lot of questions on this because you don't disclose a lot of details. I'm just wondering, where are your greatest unmet needs in animal health, how are you addressing these, and will we hear more about these products in 2018? And also, can you provide any measures by which you can measure your R&D productivity? Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Thank you, Louise, for the question. And, well, we still see unmet needs in our animal health industry. One of the unmet needs is related to pain in dogs and cats and bring some alternative solutions for the current treatment. And this is why we are focused on monoclonal antibodies that will be providing alternative to the current treatments for dogs and cats.

We also see opportunities of combination of oral parasiticide for internal and external parasiticide. And definitely we see the opportunity of enhancing the productivity in livestock with a new technology that will replace existing ones. So, there are areas that definitely we have internal programs. And we mentioned many times, our competitors because they are part of pharma companies, they are not disclosing any details. For us, providing this information will create a negative impact in our ability to compete successfully in the future.

In terms of how we measure productivity, Glenn will provide some details.

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

So, in terms of measuring the productivity for R&D, A, as we prioritize the projects across the portfolio, we use eNPV and eROI to make sure that we're appropriately prioritizing across the portfolio. We'll also look retrospectively from a return on invested capital perspective to see the return that we get from our investments. And based on the productivity we've had over the last number of years, we've been very pleased with our return on our R&D spend.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Next question, please.

A

Operator: And we'll go to next question to Kevin Ellich with Craig-Hallum. Please go ahead.

Kevin Ellich

Analyst, Craig-Hallum Capital Group LLC

Good morning. Thanks for taking the questions. So, very, very strong results this quarter, guys, and it's great to see the rapid growth in companion animal as well as the recovery in livestock that you expect. Glenn, you made a comment about more balanced growth between livestock and companion animal in 2018 and even moderating growth in dermatology. Can you guys give us a little bit more detail behind what you expect in companion animal? Should we be thinking about 10% companion animal growth versus 8% livestock or any help on that front?

Q

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

Yeah. In terms of the growth that we expect for 2018, I'm not going to give specific numbers, obviously, between livestock and companion, but I think when you look at 2017, for the full year, we have 5% growth in livestock and 14% growth in companion, so there was a big differential in the growth.

A

As we move into 2018 with the very strong performance that we had in our companion animal portfolio in 2017, we've established a new base to grow off of, particularly in our derm portfolio as well as Simparica. So, while we still expect those products to grow in 2018, the overall contribution that they'll have for the total companion animal growth will be smaller just as they're off of a much larger base. So, that's going to cause our companion animal growth to decelerate as we move into 2018.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Next question, please.

A

Operator: And we'll take the next question from Erin Wright with Credit Suisse. Please go ahead.

Erin Wilson Wright

Analyst, Credit Suisse

Great. Thanks. In terms of the development pipeline, a follow-up here, I guess, can you speak to some of the focus areas outside of traditional therapeutics? So, for instance, you launched the new diagnostic offering at VMX. You also have SMB opportunities and you mentioned some sales force investments there. Is that going to be a focus area for you in terms of new product launches near term? Will it be a more organic or inorganic initiative?

Q

And then just could you speak to some of the – you mentioned data and analytics but some of the other areas or ancillary areas outside of traditional therapeutics, where you see growth opportunities? Thanks.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Erin. We see Zoetis has a much more integrated offer to our customers including the products in medicines, vaccines, but also diagnostics, genetics, what we have described as the healthcare cycle of detection, also prediction, prevention and treatment. And definitely, we'll continue to focus on our core business. The core business will continue generating the majority of our revenues and profits, but we see opportunities to accelerate our growth by investing in some of these complementary spaces. Definitely, genetics, diagnostics, data analytics are part of this effort. We have now in diagnostics a very strong pipeline that definitely we'll be focused on delivering in the next coming years.

We also presented in the last congress of VMX a new Carysta high-volume chemistry that it's part of our efforts really to become a key player in diagnostics, but in a way that we'll be integrated or we'll be integrating more all these portfolio in our offers to our customers. As well, we will be investing in data analytics, sensors that will complement our offer to our customers.

Next question, please.

Operator: The next question comes from Michael Ryskin with Bank of America Merrill Lynch. Please go ahead.

Michael Ryskin

Analyst, Bank of America Merrill Lynch

Q

Hi. Thanks for taking the call. Congrats on the quarter, guys. A couple of questions on the quarter and then just a longer-term follow-up. Really strong results in U.S. livestock this quarter. I know it was a bit of surprise relative to what we were looking for. In particular, U.S. cattle had a great number. You mentioned some of the disease conditions but you also talked about feedlots and cattle herd size.

I recognize that the weather is more transient, but the feedlot data you should have pretty good visibility in. And I was just wondering if you could talk a little bit about how the outlook there is for the first part of 2018. Is the feedlot strength sustainable, is that something you think will continue for several quarters?

And then broader on the 2018 guide, you talked about a pretty sizable gross margin improvement, 120 bps year-over-year. Is the longer-term target still what you had talked about, 200 bps by 2020, or is there upside opportunity there, given how much improvement you're looking for this year?

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Mike. I will respond about the U.S. livestock results, and then Glenn will provide the details of our gross margin improvement, and also targets for the future. Well, in the U.S., definitely we had a strong fourth quarter in the U.S., and this was the result of several factors, including the weather conditions and grouping of animals, also the fact that we decided not to implement promotional activities in the third quarter. And then this – was some movement of sales from the third quarter to the fourth quarter of 2017.

But the results are in some way what we were expecting there and we also communicated in previous quarter. So we saw that in the first part of the year, we had some limited growth in the U.S. cattle, but we were also expecting that at the end of the year, we'll be reporting revenue growth in the U.S. cattle. And this quarter is just confirming our projections for the year. It has been movement of animals, as I mentioned, to the feedlots, and we are pleased with the performance of the entire portfolio in our cattle business in the U.S.

Moving forward, for 2018, we see positive elements in our beef segment in the U.S. We see that, well, a number of animals, we continue growing probably at a lower rate than what we have seen in previous year but still growing. Placement are expected also to continue being positive. And we expect also that the weather conditions in 2018 will be more favorable for animal health than in 2017. So overall, we see that the beef segment will grow and relatively will be growing in line with the market.

We also see that at least in the first half, the dairy segment will be facing some challenge because of the price. The price of the milk, it's lower than in previous quarters. And then, maybe we will have an impact on the first half of the year. We expect that the second half will be more positive, but overall, the cattle will be showing positive growth in 2018. And as I said, we expect that to grow in line with the market.

Then, Glenn, please, do you mind to cover the questions on gross margin?

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yes. Mike, in terms of gross margin, when you look at the 2018 guidance of approximately 32%, that's more in line with the second half of 2017, which is more reflective of our underlying cost structure as we've discussed on some of the previous calls. In terms of the 200 basis point improvement by 2020, we remain committed to that improvement. And as we've said all along, that improvement is driven by the supply network strategy efforts.

To the extent that there is additional opportunity based on price, based on volume, based on mix, which can go in either direction, that can either have an incremental impact or an incremental improvement over margin over that time, or take away a little bit. But the 200 basis points was always based on supply network strategy and to the extent that we have favorable movement in price and mix that would add additional margin improvement.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Next question, please.

Operator: We'll go next to Alex Arfaei with BMO Capital Markets. Please go ahead.

Alex Arfaei

Analyst, BMO Capital Markets (United States)

Q

Okay. Good morning, folks. Thank you very much for taking the questions and congratulations on the solid performance and all the progress during the past five years. It's really remarkable.

On that U.S. livestock business, clearly much better than expected, the difference is particularly striking given what we are hearing from some of your competitors, particularly Elanco. So, I'm just wondering if you could highlight what are some of the differences that's driving better performance for your portfolio versus what we are seeing from some of your competitors.

And then on the companion animal business, could you comment on the base business excluding dermatology and Simparica? Is that stable or is it under pressure as some of those franchises mature? Thank you very much.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Alex. Well, probably I should focus on the drivers of our growth and it is basically because of our portfolio. We have a portfolio which is extremely well-balanced on many different therapeutic areas, talking about livestock and this is also helping us – as I said many times, this diversity is helping us really to manage different cycles, different opportunities, different challenge and really deliver results which are very consistent and in some cases growing faster than our competitors.

And we don't see that the livestock business in the U.S. is showing any negative fundamentals. As I said, for 2018, we expect cattle business, beef and dairy combined, showing positive growth. We also expect that swine and poultry will continue growing. In the case of swine, we expect that Zoetis will be growing faster than the market because we are introducing new products and also we have seen that some of the challenge that we faced in 2017 related to the PCV2 vaccine now are over.

And at the same time, we are introducing new PCV2 vaccines covering more strains that also will help us return to growth in 2018. Poultry also we expect positive growth in the U.S., and we'll be growing in line with the market. So, overall, very pleased with our performance and also positive about the prospects for livestock in the U.S.

In terms of – you also ask about companion animal and what has been the drivers of growth in 2017 and also how we see the growth moving forward. Maybe, Glenn, you can provide the details of new products, price, and also volume growth for the rest of the portfolio.

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

In terms of companion animal in 2017, obviously a lot of the growth was driven by our new products. And we had new products in a number of categories. So, the ones that get the most attention, obviously, are Apoquel and Cytoint and Simparica. But we also had significant growth coming from our vaccines as well. And these products were the focus of our field force in 2017.

In terms of the rest of the portfolio of what you would then call the in-line portfolio, performance in those categories was relatively flat as we did experience some pressures from generic competition in line with what our expectations would have been particularly in the U.S. And that was offset by some strong performance in our emerging markets that continue to grow as increasing medicalization rates in markets such as China and Brazil continue to benefit us. So, overall, relatively flat performance of our in-line portfolio, but really strong performance from our new products as that was the focus of our field force with the tremendous products that we had to launch, and continue growth in it.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Next question, please?

Operator: We'll go next to Jon Block with Stifel. Please go ahead.

Jonathan David Block

Analyst, Stifel, Nicolaus & Co., Inc.

Q

Great. Thanks, guys. Good morning. Two questions. Glenn, I have OpEx as a percent of revenue that improved by a 270 basis points in 2017, it was just huge. The guide for 2018, I believe, implies about a 70-bp improvement, OpEx as a percent of revenue with a rate of revenue growth that really isn't too dissimilar in 2018 versus 2017. So, I want to be clear. The 70 bps is nothing to sneeze at, but maybe if you can talk to the increased investments

that you guys are pursuing, and when those will yield a return or is it just a function of sort of moving further away from the operational efficiency program.

And then, just a pivot, Juan Ramón, I really don't expect specifics, but any thoughts of you believe you will have a call, a new blockbuster companion animal product in 2019, maybe that's from the triple or something out of the pain portfolio from Nexvet, any details you guys can give there? Thanks for your time.

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

So, Jon, in terms of the OpEx improvement that we experienced in 2017 versus what the expectation may be for 2018, that was really the latter of your comments. 2017, we continued to benefit from the remainder of our operational efficiency initiatives. And we were able to grow revenue significantly faster than OpEx in 2017.

Now, as we move into 2018, we still expect to grow revenue faster than OpEx, but not to the same magnitude as we don't have the same level of improvements coming from our operational efficiency initiatives.

The other thing I'll point out for 2018 is there are investments that we're making in SG&A to support the continued development of our diagnostic portfolio and to make sure that we have the right commercial support behind those products as they become ready for launch.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

And answering about the potential opportunity of launching future blockbuster, definitely, we'll continue seeing opportunities of launching the products that generate significant growth. And I discussed about monoclonal antibodies for pain, I also talked about combination of products in parasiticide segment for internal and external enhancements of productivity for livestock.

At this point, commenting when this product will be launched, I think, is too premature. But we think that we can continue generating growth, which is in line or faster than market with existing portfolio and also the additions of maybe a blockbuster, but also multiple products that will support our revenue growth.

In our industry, as I mentioned many times, we are not dependent on bringing these blockbusters to generate consistent growth because we don't have the same impact that we see in human health because of genetic deterioration. So, we are pleased with our pipeline. We are pleased with the return of our investment in R&D. And we'll continue to focus on generating internal revenue growth, at the same time, assessing opportunities that – external opportunities that will enhance our opportunity to grow.

Next question?

Operator: Next question is from John Kreger with William Blair. Please go ahead.

John C. Kreger

Analyst, William Blair & Co. LLC

Q

Hi. Thanks very much. Can you just expand a bit more on the diagnostic strategy? You've not talked about it this much in the past. Should we think about that as more focused in companion animal or livestock and more sort of centralized or sort of point-of-care type of products? Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, John. And let me say that we see diagnostics as an area that is growing faster than the average of animal health. And we see diagnostics also as a very complementary to our offers to customers and also an opportunity to leverage our existing relationship and infrastructure in many markets. The focus today is developing our internal pipeline to bring these products into the market.

We see that is a significant competition in companion animal, especially in the U.S., much more opportunities to offer penetration in international markets in companion animal. And because of also our expertise and our presence in livestock, we see this area as a significant potential opportunity for Zoetis. And this should be in areas like rapid test, point of care, but also equipment. So, this is where we are focused today in Zoetis. This type of point of care, diagnostic tools that will help in areas in companion animal and livestock to make decisions at the point of care.

Next question, please.

Operator: The next question is from David Risinger with Morgan Stanley. Please go ahead.

David R. Risinger

Analyst, Morgan Stanley & Co. LLC

Q

Great. Hi, Juan Ramón and Glenn. I have two questions. The first is could you provide a little bit more color on the ramp of new products, specifically new companion animal products, ex U.S. in 2018? And then, second, with respect to cash flow for 2018, could you please discuss the outlook for operating cash flow and free cash flow in 2018 relative to 2017? Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

I will provide some comments on the companion animal products outside of the U.S. Glenn also will may be expanding in some of the details for international markets and definitely will be commenting on the operating free cash flow that the questions that you raised and also the outlook for 2018.

We have seen in international markets very high growth in companion animal. International markets are a combination of new product launches, Apoquel, to a lesser extent Cytopoint, Simparica. But also the growth that we have seen in some of the emerging markets in companion animal in where the rates of medicalization has been growing very fast. And we have seen in countries like Brazil, China significant growth. And in countries like China, we saw new product launches. So, we still see the opportunity of growth in the future once we introduce Apoquel, Cytopoint, and Simparica in the Chinese market.

We still see significant opportunities for growth in international markets because the level of penetration of Apoquel, Cytopoint, and Simparica compared to the U.S. is much lower. So, we expect in 2018 that we'll be continuing enjoying growth in international markets in companion animal. Maybe, Glenn, you can maybe expand some details on this question and also on the free cash flow one?

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

In terms of free cash flow and the cash flows that we expect for 2018, so our operating cash flow, we expect to grow pretty much in line with our growth in adjusted net income. As I also mentioned in my prepared remarks, with the increased expenditures we have for CapEx, free cash flow will grow slightly lower than what we expect to grow for operating cash flows.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Next question, please?

A

Operator: The next will be Kathy Miner with Cowen. Please go ahead.

Kathy M. Miner

Analyst, Cowen & Co. LLC

Thank you. Good morning. Just wanted to follow up on the dermatology area a little bit more. Juan Ramón, I think you – it sounds like you increased your guidance for the Cytopoint and Apoquel franchise to \$500 million in 2018. Can you tell us if this is being driven more by Apoquel and/or Cytopoint and what the penetration is in dogs now for dermatology conditions? Thank you.

Q

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

Thank you, Kathy. And, I think, definitely, we have seen that the adoption of Apoquel and Cytopoint has been growing in 2017 very fast. And that's why we are now projecting for 2018 already to generate \$500 million in sales or more. Both products are performing extremely well. And, now, I think it's something that we feel that pet owners, when they go to clinics and they have dermatology issues, they are leaving the clinics with either Apoquel or Cytopoint. Definitely, the direct-to-consumer advertising has been helping to accelerate the adoption and also to expand the market.

A

In terms of penetration, definitely the penetration in the U.S. and international market is different. In the U.S., we reported last quarter that we have a penetration in terms of patients of about 59%. We have seen in the fourth quarter this penetration is stable. And is something that, in some way, was expected because it's a quarter in where most of the use is in acute, while – I'm sorry, chronic, while we have seen increase in the penetration because of the use of acute and seasonal. Seasonal and acute, it's mainly in the second and third quarter. And we expect in 2018 continue growing in this acute and seasonal and also helping also with increase of awareness in terms of dermatology issues with our continued DTC campaign in 2018.

We have not seen too much cannibalization of Apoquel because of Cytopoint. It's about 26% (sic) [16%] which is what we were expecting. But I think it's something that we are offering more solutions to the veterinarians and we are very pleased with the performance of these two products.

Next question?

Operator: We'll go next to Liav Abraham with Citigroup. Please go ahead.

Liav Abraham

Analyst, Citigroup Global Markets, Inc.

Q

Good morning. Just a quick question on the tax rate. You've guided to a tax rate of 21% to 22% for 2018. Can you comment on your outlook for tax beyond 2018 and the opportunities for this to be reduced further over time?
Thank you.

Juan Ramón Alaix
Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Liav. And will be Glenn answering this question.

Glenn David
Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

In terms of the tax rate, as you mentioned, for 2018 we've guided to 21% to 22%. We haven't provided guidance for beyond 2018. There are additional clauses that kick in beyond 2018 for us and come into effect in 2019, and we need to fully understand the impact of that. But, again, the guidance for 2018, based on our current understanding, we're comfortable with the 21% to 22% for 2018.

Juan Ramón Alaix
Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Glenn. And maybe some clarification on the dermatology penetration. I mentioned data for the U.S. International markets, definitely, we have lower patient share, and we still see a lot of room for growing in terms of patient share and also in terms of expanding the market.

Next question, please.

Operator: We'll go next to Chris Schott with JPMorgan. Please go ahead.

Chris Schott
Analyst, JPMorgan Securities LLC

Q

Great. Thanks very much for the questions. Just two quick ones here. First, anything – I know you don't give quarterly guidance, but anything we should be keeping in mind as we think about quarterly progression of both top line and earnings as we think about 2018 relative to 2017?

And the second was just maybe following up on those comments on Apoquel and Cytoint. Just a little bit more color, just how much more room for growth is there in this franchise beyond 2018? And I guess what I'm really trying to get at is any more color of how – what could peak sales look like for this franchise? I guess, if you start getting through 2018 this \$500 million-plus number, is there still significant room for growth or are we starting to get to a point where we're reaching peak sales for these assets? Thanks so much.

Juan Ramón Alaix
Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Chris, and let me cover the question on dermatology portfolio, and then Glenn will discuss about the quarterly projections for 2018. We still see growth not only in 2018, but in future years for dermatology portfolio. And maybe the growth in markets that the product has been introduced some years ago like the U.S., this growth will be moderated in the future. But still in many international markets, we are just introducing Cytoint. Apoquel definitely has still a lot of opportunity to continue growing.

I mentioned China as a country where we don't have yet Apoquel, and we expect also China generating a growth in the future. So, we don't see that 2018 will be our peak sales in terms of Apoquel, Cytopoint. On the contrary, we'll continue growing. Definitely the growth will be moderated, but we expect also continue growing. And definitely we'll see growth coming from volume, but also growth coming from prices.

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Chris, in terms of the 2018 quarterly progression, as you mentioned, we don't give 2018 guidance by quarter, but just a couple of things to think about. A, we do expect more balanced growth in 2018 than we saw in 2017, and a more steady performance in terms of cost of goods as a percent of revenue than we saw in 2017 in particular. The other thing I'll point out is we are moving from a 4-4-5 accounting calendar to a month-end accounting calendar, and that will have some small impact per quarter. The greatest impact that you'll see will probably be in Q4, where it could negatively impact our growth in Q4 of 2018 by almost 2%. So those were the only things that I would point out.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Next question, please?

Operator: The next question is from Gregg Gilbert with Deutsche Bank. Please go ahead.

Gregg Gilbert

Analyst, Deutsche Bank Securities, Inc.

Q

Thanks, gentlemen. Curious whether you saw any headwinds or benefits tied to the consolidation of vet clinics in the U.S.? I realize there wouldn't be a material effect for the whole year for the whole company, but curious on that theme as it continues to build.

And my other question is about the environment overall and some of your competition. One of the elephants in the room this year is that Lilly will explore actions for Elanco. And I know, Juan Ramón, you've commented in the past that mergers among the larger players in the industry would be difficult from an antitrust perspective. But how would you view a spinoff of Elanco if that's what they decide to do? I'm curious on your thoughts there sort of operationally and otherwise as it relates to any effects good or bad for Zoetis? Thanks.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Gregg. And definitely we have seen a consolidation of vet clinics in the U.S. Also, we have seen not too much consolidation of clinics outside of the U.S., but maybe buying groups that also are having an impact. So far, we are managing very well the relationship with these clinics. In some cases, we have been able really to reach exclusive agreement for Simparica on one of these larger groups. That is something that we see as very positive.

We understand that, in some cases, we may have some pressure in terms of prices, which is part of also our projections and our model. But at the same time, we see the opportunity also of expanding the healthcare because of better services to pet owners. So, we see also that in the case of Zoetis, we have a portfolio of specialty care that is also providing significant benefits to this change of clinics. And definitely, we are managing extremely well. It was very positive correlation with Banfield in the past. We also have good correlation with the VCA and we expect that the combination of the two groups also will continue positive for Zoetis.

In terms of decisions of Elanco, I think it's something that I prefer not to comment on other companies' strategic reviews. We went through our process five years ago. It was the right decision for Pfizer and also for Zoetis. Very pleased with our performance and, definitely, we have seen the benefits of being as Zoetis, having a singular focus on animal health and singular focus on providing value to our customers and to our shareholders.

Next question?

Operator: And we'll go next to Jami Rubin with Goldman Sachs. Please go ahead.

Candace Richardson

Analyst, Goldman Sachs & Co. LLC

Q

Good morning. This is Candace Richardson on for Jami Rubin. I have two quick questions. Tempered growth in the U.S. companion this quarter appears to be related to tougher comps from certain products that launched last year. When should we expect this to annualize?

And then, secondly, your recent dividend increase of nearly 20% is among the highest in the industry. We're wondering if there is a specific payout ratio you're looking to achieve. And given that you're the only stand-alone public animal health company, what comps do you look out when you evaluate your dividend policy? Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you for your question. Please, Glenn, do you mind answering the question?

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

A

Yeah. So, in terms of U.S. companion animal growth for 2017, for the full year, we had 13% operational growth in U.S. companion animal; in the quarter, we had 15% growth. So, we saw another continued quarter of very strong growth in U.S. companion animal. So, not necessarily tempered growth for Q4.

In terms of our dividend policy, we generally grow our dividend at or faster than our growth in adjusted net income and that is our commitment moving forward, is that we'll continue to grow our dividend at or faster than net income and have a focus on dividend growth. We're also focused on share repurchase as another way to return excess capital to our shareholders. And we currently prefer share repurchase as it gives us a little bit more flexibility to manage the other priorities we have for capital allocation being our internal investments as well as business development.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Next question, please.

Operator: We'll go next to Douglas Tsao with Barclays. Please go ahead.

Douglas Tsao

Analyst, Barclays Capital, Inc.

Q

Hi. Good morning. Thanks for taking the questions. Just focusing on the companion business, you referenced some greater amount of competition for the in-line products. Just curious if that is a trend that you expect to continue.

And then just when you think about the growth for the dermatology franchise going forward, should we – it'd be safe to assume that a lot of the growth going forward will come from the ex-U.S.? And if you think about that peak potential, I know people sort of hinted at this question, but do you think that the ex-U.S. opportunity could be ultimately as big as what we've seen in the United States? Thank you.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

Thank you, Doug. And we don't see that the competition has been increasing in companion animal for our in-line portfolio. Definitely, we have seen the impact of generic in line with previous years and also in line with our projections. Definitely vaccines, we have been growing very fast and, in our opinion, growing faster than the market for companion animal. So, in general, we understand that there has been new products in the pain market in 2017 that has an impact on Rimadyl. But that is not something that we see as greater competition in our in-line. Maybe our in-line portfolio has been affected because of so many products, new products that has been launched in previous year. And as you can imagine, the level of attention of our field force during this period has been intentionally in this new product but we are very pleased also with the performance of our in-line and definitely we see that this in-line will be performing according to our projections.

In terms of the dermatology portfolio opportunity outside of the U.S., so there is probably a couple of years or 18 months difference in terms of the introduction of Apoquel in international markets. Cytopoint, that it was introduced in the U.S. at the end of 2016 or mid-2016. As we introduced at the end of 2017 in Europe, still not introduced in many international markets. I mentioned that even Apoquel is not yet approved in China and we expect approval in the future. So, definitely, it's a significant opportunity of growing our dermatology portfolio outside of the U.S. But still, we see opportunities of continue growing in the U.S. And definitely, we'll be supporting this growth with a DTC campaign in 2018 in our U.S. markets.

Next question?

Operator: And we'll go next to Brett Wong with Piper Jaffray. Please go ahead.

Brett W. S. Wong

Analyst, Piper Jaffray & Co.

Q

Hey, guys. Thanks for fitting me in here. You talked a bit about your positive expectations for U.S. livestock but can you comment on kind of the international livestock business specifically in your key markets like cattle Brazil, hogs in China, et cetera. Could you expect the strength that you saw in 2017 to continue in 2018?

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

A

We see livestock in international markets also continue positive. China show 20% growth in 2017, this was the combination of companion animal and livestock. There are always, as we mentioned many times, economic cycles. Prices of pork in China and some of the markets, they can affect temporary some of the growth drivers, but one of the advantages of Zoetis that we explained many times is the diversity of our business in all the geographies.

In terms of Brazil, we don't see any change in the fundamentals of our business in Brazil. The cattle business is doing very well. Swine is doing very well. We had some challenge in 2017 in our poultry business in Brazil. But, overall, we see also projection for livestock international as a positive for 2018.

And again, so we may see some quarterly fluctuations in some of the markets but this is not indicative of the fundamentals of the markets that should be analyzed on a longer period of time. And we don't see any significant or any headwind in terms of the projections for 2018 in international markets for livestock.

Next question?

Operator: I'm sorry. We will go next to David Westenberg with C.L. King. Please go ahead.

David Westenberg

Analyst, C.L. King & Associates, Inc.

Thanks for taking my questions. Congrats on a good quarter. So, my question is, some of our research is suggesting that veterinarians do tend to like to order in bulk and – from one vendor for additional discount. So, with the derm portfolio now approaching \$500 million in sales, what's the opportunity to add to the product bag of the veterinarian Simparica and vaccines? And really, what's the cross-selling opportunity as derm becomes a \$500 million drug?

Glenn David

Chief Financial Officer & Executive Vice President, Zoetis, Inc.

So – yeah, this is Glenn, we do think there are definitely opportunities to leverage our portfolio. And in many of our markets, we have programs that do provide additional incentives with the more products that you buy from Zoetis. So, we're definitely able to leverage the scale that we have with Apoquel, with Cytopoint, with Simparica, with many other vaccines to provide additional discounts for buying our total portfolio versus just buying one of our individual products.

Juan Ramón Alaix

Chief Executive Officer & Director, Zoetis, Inc.

And when we are talking about the total portfolio, also we include products like rapid test, diagnostics or, in the future, equipment. So, that's why we see the advantage of integrating larger portfolio and offer this portfolio to our customers.

So, next question?

Operator: And it appears we have no further questions. I'll return the floor to you, Juan Ramón, for closing remarks.

[09PKDV-E Juan Ramón]

Well, thank you very much for joining us, and thank you for your questions and looking forward to have another discussion for the first quarter of 2018. Thank you very much.

Operator: And this will conclude today's program. Thanks for your participation. You may now disconnect. Have a great day.

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